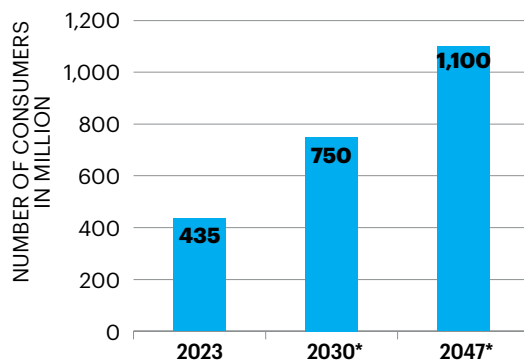


THE MORE THE MERRIER

- India's consumer base can nearly triple over the next 24 years
- By 2030, India would have added over 300 million new consumers

NOTE DATA FOR INDIA; *ESTIMATES, **SOURCE** IMF, INDUSTRY

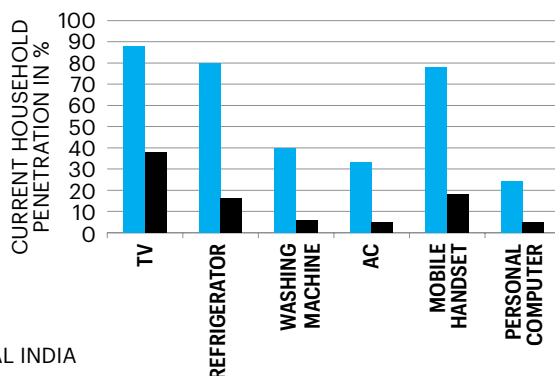


AMPLE ROOM FOR GROWTH

- Urban areas have much higher adoption rates than rural areas
- Rural penetration is low but shows untapped potential

SOURCE INDUSTRY

● URBAN INDIA ● RURAL INDIA



services, passenger vehicles, leisure travel, and household appliances and electronics. Additionally, rapid urbanisation and digitisation are leading young consumers to spend more on services that were not part of their budgets a decade ago. BMI estimates that spending on communication-related services will grow at over 11% CAGR in the coming years, driven by a “technology-literate, urban middle class with increasing amounts of disposable income that would encourage expenditure on aspirational products such as consumer electronics”.

Another key driver of growth is the burgeoning FMCG market, which is set to gain further momentum. Suresh Narayanan, Chairman & Managing Director of Nestlé India,

says that the local FMCG market is “undergoing rapid transformation driven by evolving consumer preferences, technological advancements, and economic shifts”. He adds, “Growth will come from premiumisation and new category adoption. This trend will be more pronounced in the Top 100 cities, driven by increased disposable income.” Narayanan goes on to say that there is a growing willingness among Indian consumers to invest in value-added offerings. “New super-premium segments will emerge to cater specifically to the affluent.”

The premiumisation trend, embraced by leading FMCG players such as Nestlé, Hindustan Unilever Ltd (HUL) and ITC, is expected to benefit manufacturers and drive a

segment of consumers towards increasing their spending across various FMCG categories.

Over the past decade, the FMCG market in India has recorded a CAGR of 13%. However, per capita consumption remains lower compared to many Asian peers and global leaders. At \$46, per capita FMCG consumption in India lags behind that of Indonesia (\$103), China (\$126), the Philippines (\$255), and Thailand (\$438). Yet, this is changing. Indians are increasingly consuming higher-priced offerings, say industry experts.

Moreover, with rapid digitisation and affordable internet data rates, rural consumers are also joining the consumerism trend. “Rural consumption habits are also changing fast. The great rural-urban divide is no longer as pronounced as it was a decade ago. As a result, aspiration levels in rural India have grown, and this growing aspiration is now backed by more money in their pockets,” says Dabur’s Malhotra. The think tank, The Brookings Institution, echoes Malhotra and highlights the significance of India’s rural consumers, noting that despite having a larger consumer pool, China’s 194 million rural consumers are outnumbered by India’s 232 million, which is expected to grow at a faster pace.

As India charts its path towards becoming a global economic leader, the transformation of its consumer landscape will play a crucial role in shaping the future of both the Indian and global markets. The next two decades will be a period of dynamic growth and adaptation, setting the stage for India to redefine its position on the world stage. **BT**

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